IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI, COURT-III

COMPANY PETITION NO. (CAA) - 83(ND)/2022

CONNECTED WITH

COMPANY APPLICATION NO. (CAA) - 46(ND)/2022

(Under Section 230-232 and other applicable provisions of the Company Act, 2013 r/w the Company (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/s. POWERTEC ENGINEERING PRIVATE LIMITED

..... Petitioner Company No. 1/ Transferor Company

AND

M/s. POWERTEC INFRASTRUCTURE HOLDINGS PRIVATE LIMITED

..... Petitioner Company No. 2/ Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Delivered on 04.01.2024

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	:	CA Vijay Kumar Gupta and CS Rahul Jain
For the IT Department	:	Mr. Puneet Rai and Mr. Nikhil Jain, Advs.
For the OL	:	Ms. Tanuja Rawat, Adv.
For the RD	:	Ms. Shankri Mishra along with Ms. Niharika Tanwar, Advs.

ORDER

PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)

1. The present Second Motion Petition is filed jointly by the M/s. Powertec Engineering Private Limited (Petitioner Company No. 1/ Transferor Company) and M/s. Powertec Infrastructure Holdings Private Limited (Petitioner Company No. 2/ Transferee Company) under Sections 230-232 of the Company Act, 2013 (Act) read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme). The proposed Scheme provides all Asset(s)/ Undertaking(s)/ property(ies)/ Liabilities(s)/ Encumbrances(s)/ contracts, deeds, bonds and other instruments, legal proceedings, employees and properties whether comprised in any undertaking or otherwise of the Transferor Company and pursuant to the sanction of this Tribunal, without any further act or deed or matter or thing to be made, done or executed but subject to the changes affecting the same as on the Effective Date, shall stand transferred to and vested in the Transferee Company as a going concern so as to become the undertaking and property of the Transferee Company from the Appointed Date. It further provides that the authorized share capital of the Transferor Company be consolidated and merged into the existing authorized share capital of the Transferee Company and the authorized share capital of Transferee Company stand consolidated accordingly pursuant to the Scheme. The name of the post amalgamation entity has been proposed to be "M/s. Powertec lnfrastructure Private Limited".
2. The Registered office address of all the Petitioner Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.
3. The Transferor Company namely M/s. Powertec Engineering Private Limited bearing CIN: U74140DL2001PTC137679 was incorporated on

04.12.2001 under the provisions of the Company Act, 1956 as a Private Company Limited with the Registrar of Companies, Ahmedabad under the name of "AIA Power Consultancy Private Limited" as a Private Company Limited by shares which was changed to “Powertec Consultancy Private Limited” which was further changed to “Powertec Engineering Private Limited” and the registered office address was changed from the State of Gujrat to NCT of Delhi. The registered office address of Transferor Company is situated at B-6/7, Safdarjung Enclave, New Delhi-110029. The Authorized Share Capital of the Company is 11,00,00,000/- and the issued, subscribed and paid-up share capital of the Company is Rs. 10,14,30,000/-.

4. The Transferee Company namely M/s. Powertec Infrastructure Holdings Private Limited bearing CIN: U45207DL2008PTC182630 was incorporated on 29.08.2008 under the provisions of the Company Act, 1956 as a Private Company Limited with the Registrar of Company, NCT of Delhi and Haryana. The registered office address of Transferee Company is situated at B-6/7, Safdarjung Enclave, New Delhi-110029. The Authorized Share Capital of the Transferee Company is Rs. 2,00,00,000/- and the issued, subscribed and paid- up share capital of the company is Rs. 1,32,95,000/-.
5. It is stated that both the Transferor and Transferee Company have filed a joint necessary second motion Petition being **CP (CAA) – 83(ND)/2022** on 09.07.2022, connected with the first motion Application being **CA (CAA) – 46(ND)/2022**, before the National Company Law Tribunal, New Delhi.
6. The Board of Directors of the Transferor Company and the Transferee Company in their respective Board Meetings dated 01.03.2022 approved and adopted the proposed Scheme of Amalgamation.

   A Copy of the Board Resolution dated 01.03.2022, passed by the Board of Directors of the Transferor Company and of the Transferee Company, inter alia, approving the Scheme and the filing thereof with this Tribunal is filed along with the Petition.

7. **Purpose and Rationale of the Scheme of Amalgamation**

I. It is proposed to amalgamate the Transferor Company with the Transferee Company, for the purposes of consolidation, simplification of group structure, elimination of multiple entities and thus a reduction in operational and compliance costs, better, efficient and economical management, control and running of the businesses, and for further development and growth of the business of the Transferee Company. The proposed amalgamation between the Transferor Company and the Transferee Company shall result in the following benefits, amongst others, to both Company, their respective members and creditors:

a) Consolidation and simplification of the Group Structure;

b) Elimination of multiple Companies in the group with similar objectives and operations;

c) Reducing operating and compliance costs;

d) Achieving operational and management efficiency;

e) Achieving higher long-term financial returns and enhancing the financial strength that could not be achieved by the Company individually;

f) Reduction in duplication of systems and processes; and

g) Synergies arising out of consolidation of business, such as, enhancement of net worth of the combined business to capitalise on future growth potential, optimal utilisation of resources.

II. This amalgamation would lead to greater economies of scale, increased efficiency and effectiveness in monitoring the operations, better management of affairs and optimisation of compliances cost vis-a-vis operating through two separate entities.

III. The Transferee company has better and greater market standing and the management desires to retain its name without the words 'Holdings' and thus to have "Powertec Infrastructure Private Limited" as the name of amalgamated Transferee company.

8. This Tribunal by its order dated 02.06.2022 dispensed with the requirement to convene the meetings of the Equity Shareholders and of the Unsecured Creditors and of the Secured Creditors of the Transferor Company and of the Transferee Company, as sought through first motion application.
9. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices. This Tribunal vide orders dated 02.06.2022 and 27.07.2022 directed to issue notice to the Regional Director (Northern Region), Ministry of Corporate Affairs, Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, Ministry of Corporate Affairs, Official Liquidator attached to the High Court of Delhi and Such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also direct that the notice be published in two newspapers i.e., Business Standard (English) and in Business Standard (Hindi) Delhi Edition.
10. It is submitted by the Petitioner Companies that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 16.09.2022 by confirming that the aforesaid Notices of the present Company Petition were published on 19.08.2022 in Business Standard (English) and in Business Standard (Hindi) Delhi Edition. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal.
11. The Regional Director along with the Registrar of Companies vide its report dated 01.03.2023 has not objected to the proposed scheme of the amalgamation but has made certain observations. The petitioner companies filed reply dated 10.02.2023 and 04.10.2023 in response to the observations made by the Regional Director along with the Registrar of Companies, wherein the petitioner companies gave an undertaking to appropriately comply with the observations made by the Regional Director.

12. The petitioner companies filed an Affidavit dated 13.07.2023 stating that all liabilities on account of Income Tax of whatsoever kind, nature and description and including those that arise on account of the amalgamation and in pursuance of the Second Motion Petition filed by the Applicant Companies shall be taken care of by the Transferee Company and same is also mentioned in Clause 5.2 of the Approved Scheme of Amalgamation filed before this Tribunal..
13. The Official Liquidator has filed their report/representation dated 07.07.2023 and stated that they are of the view that affairs of the Petitioner Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to the public interest in terms of provisions of the Company Act, 2013. On 18.12.2023, the Ld. Counsel Appearing for the Official Liquidator submitted to this tribunal stating therein that they have no objection with respect to the present scheme of amalgamation.
14. The Petitioner Companies shall account in accordance with and as per the method of amalgamation prescribed in the applicable Indian Accounting Standard as notified under Section 133 of the Company Act, 2013 read together with Paragraph 3 of the Company (Indian Accounting Standard) Rules, 2015 and other accounting principles generally accepted in India.

    In this regard, Copies of Certificates of Compliance obtained from the Statutory Auditor of all the Petitioner Companies confirming the accounting treatment proposed in the Scheme of Amalgamation are filed along with the Petition.
15. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Company under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Company, no winding-up petition (including under Section 433 read with Section 434 of the Company Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Company. None of the directors of the Petitioner Company have any

material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Company.

16. Further, this Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

17. **Analysis and Finding**

i. After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Company and the Transferee Company and the Scheme will be beneficial to the Transferor Company, Transferee Company and their respective shareholders and creditors.

ii. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Company Act of 2013, will not ordinarily interfere with the corporate decisions of the Company approved by shareholders and creditors.

iii. It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Company, Transferee Company, their respective shareholders, creditors, employees and all concerned.

iv. Further as far as limited objections raised by the RoC is concerned, the same have been duly dealt with by the Petitioner Companies. We also note that if there was any non-compliance at the end of the Petitioner Companies, it was always open for the RoC to initiate appropriate actions against the petitioner Companies, however, no record has been brought on record by the RoC to show that there is any proceeding/ action pending against the Petitioner Companies for non-compliance.

v. In view of the foregoing discussion and upon considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Company Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Company (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of amalgamation i.e., 01.04.2022 by the Petitioner Company is confirmed by this Tribunal.

19. This Tribunal does further order: -

i. That the Transferor Company shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Company Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Company subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Company Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Company on the said date; and

vi. That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered, the Transferee Company shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

20. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/83 (ND)/2022** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

Sd/-

(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-

(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)